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Business Expenses and Reimbursements

Educational and synthetic policy corpus. Northstar Technologies Inc. is a fictional company created for an AI engineering project. All people, records, email addresses, examples, and operational data are synthetic. These documents are not legal advice and do not replace applicable law, benefit plan documents, signed employment agreements, or case-specific guidance from People Operations.

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Policy owner	Finance
Approver	Chief Financial Officer
Applies to	Employees and authorized contingent workers incurring preapproved Northstar business expenses
Classification	Internal

EXP-1. Purpose

This policy defines when Northstar pays or reimburses business expenses, which approvals and evidence are required, and which costs are not reimbursable. Expenses must be reasonable, necessary, properly authorized, accurately documented, and connected to a legitimate Northstar business purpose.

EXP-2. General principles

1. Use an approved supplier, booking channel, corporate card, or company-provided item when available.
2. Obtain preapproval when the category or amount requires it.
3. Choose the lowest reasonable total-cost option, considering safety, time, accessibility, and business needs.
4. Separate personal and business costs.
5. Submit accurate claims within 30 calendar days after the expense or trip.
6. Never divide a purchase to avoid an approval threshold.

Northstar may decline a cost that is excessive, personal, unsupported, late without explanation, or purchased contrary to policy.

EXP-3. Approval thresholds

Thresholds use the employee's normal expense currency. The CAD and USD amounts are policy equivalents, not exchange-rate conversions.

Total commitment	Required preapproval
Below CAD 500 or USD 375	Manager, when the category requires preapproval; otherwise normal budget authority
CAD 500-2,499.99 or USD 375-1,874.99	Manager and director or designated budget owner
CAD 2,500 or USD 1,875 and above	Manager, VP, and Finance

All international travel, conferences, home-office furniture, non-standard technology, gifts above the routine limit, and exceptions require preapproval regardless of amount. Approval of a budget does not automatically approve an individual expense.

EXP-4. Receipts and claim submission

An itemized receipt is required for each expense of CAD 25/USD 20 or more and whenever Finance requests it. A card slip showing only a total is not itemized. If a receipt cannot reasonably be obtained, the employee must submit a missing-receipt declaration stating vendor, date, amount, purpose, and why the receipt is unavailable. Repeated missing receipts may be declined.

Claims must include the business purpose, attendees for hosted meals, project or cost centre, currency, taxes where shown, and proof of required preapproval. Managers should review claims within five business days.

EXP-5. Travel booking and transportation

Business travel must be booked through the approved channel when available.

- Economy airfare is standard for trips with scheduled flight time under six hours.
- Premium economy may be approved for a segment of six hours or more.
- Business class requires executive approval or an approved accommodation.
- Rail may be selected when total cost and travel time are reasonable.
- Ride-share, taxi, public transit, mileage, parking, and tolls are reimbursable when business-related and documented.
- Traffic, parking, and other personal fines are never reimbursable.
- A personal vehicle may be used only when licensed, insured, and suitable. Mileage is reimbursed at the current company rate; fuel is not separately reimbursed for the same trip.

Daily commuting between a residence and assigned office is not a business expense. Travel treatment for Remote-designated employees is described in **POL-RWK-001**.

EXP-6. Lodging and meals

Employees should select a safe, business-appropriate hotel within the rate displayed by the approved booking tool or obtain preapproval for a higher rate.

For overnight business travel, the guideline for employee meals is up to CAD 90 or USD 75 per day, excluding reasonable tax and tip. This is a maximum, not a per diem entitlement. Alcohol is reimbursable only for a preapproved client or company event and must be reasonable.

Hosted meals must identify attendees and business purpose. An employee may not approve the employee's own hosted-meal expense; the next-level manager must review it.

EXP-7. Home-office equipment and connectivity

Company-standard technology is procured under **POL-EQP-001** and should not be purchased personally. Eligible Hybrid and Remote employees may request preapproval for ergonomic furniture reimbursement up to **CAD 500 or USD 375 once every 36 months**. The limit applies to the combined approved chair, desk, or ergonomic accessories in the period.

An amount above the cap is personal unless an approved workplace accommodation authorizes a different amount. A CAD 900 chair is therefore not fully reimbursable under the ordinary program: when eligibility and preapproval are confirmed, reimbursement is limited to CAD 500, with the employee responsible for the remainder.

Remote-designated employees may receive the standard monthly internet stipend defined in **POL-EQP-001**. The employee may not claim the same connectivity cost again through an expense report.

EXP-8. Technology, subscriptions, and professional development

Software, devices, cloud services, and subscriptions require IT or Security review when they connect to company systems, store company information, or create recurring commitments. Personal purchases made without required review may be declined even when used for work.

Professional memberships, certifications, courses, and conferences require manager and budget approval. A reimbursement agreement may apply when the cost is material and the program is optional.

EXP-9. Gifts, entertainment, and conflicts

A business gift must be lawful, infrequent, transparent, and not intended to influence a decision. Gifts to one external recipient with a total value above CAD 100 or USD 75 in a calendar year require Finance or Compliance approval. Cash and cash equivalents are prohibited.

Employees must comply with conflict-of-interest and conduct requirements in **POL-CON-001**. Government officials and regulated customers may have stricter limits; obtain Legal or Compliance review before providing anything of value.

EXP-10. Non-reimbursable expenses

Examples include:

- personal travel, companion costs, sightseeing, and leisure extensions;
- upgrades or luxury items without required approval;
- commuting, ordinary clothing, personal grooming, and personal household costs;
- fines, penalties, towing caused by a violation, and personal legal costs;
- minibar, in-room entertainment, and personal subscriptions;
- unapproved equipment or software;
- duplicate claims, loyalty-point value, or costs already paid by another party; and
- expenses that violate law, contract, or company policy.

EXP-11. Foreign currency, tax, and reimbursement

Claims must state the original currency and amount. The expense system applies its standard conversion method. Employees should not manually add a foreign-exchange buffer. Finance may adjust tax treatment or require additional documentation.

Approved reimbursements are normally paid through payroll or accounts payable. Processing time may depend on a complete claim, manager approval, and local payment cycles.

EXP-12. Exceptions, audit, and misuse

An exception must be approved before purchase whenever practical and must state the business reason. Finance may audit claims, request clarification, recover overpayments, suspend card privileges, or escalate suspected fraud

under **POL-HRC-001** and **POL-CON-001**.

A good-faith error should be corrected promptly. Intentional falsification, duplicate claiming, or approval circumvention may result in corrective action.

EXP-13. Responsibilities

Employees make compliant choices and submit evidence. Managers verify business purpose, reasonableness, and budget. Budget owners confirm funding. Finance sets controls, processes payments, and audits claims. IT, Security, People Operations, Legal, and Compliance review categories within their authority.

EXP-14. Examples

- A CAD 900 chair for a Hybrid employee requires preapproval and is ordinarily reimbursable only up to CAD 500 once every 36 months.
- A three-day domestic trip booked through the approved tool with economy airfare, reasonable hotel, itemized receipts, and business purpose is normally eligible.
- A CAD 1,200 conference requires manager and director or budget-owner preapproval.
- A laptop purchased personally without IT approval is not reimbursable merely because it was used for work.

Related policies and records

- **POL-EQP-001 - Company Equipment and Home Office Equipment**
- **POL-RWK-001 - Remote and Hybrid Work Policy**
- **POL-INT-001 - International and Out-of-Jurisdiction Work**
- **POL-CON-001 - Workplace Conduct and Reporting**